

Daito Trust Construction — 1878.XTKS

Tender Offer Correction (for THE Global 3271.XTKS) · deep-dive · 2026-04-16

Ticker	1878.XTKS (bidder) / 3271.XTKS (target)
Issuer FIGI	BBG000BNKQW1 (1878) / BBG000BNKQL3
Market cap	USD 7,158m (1878 bidder) / ~USD 200m (3271 target)
Signal date	2026-04-16
Signal type	tender_offer (correction filing)
Direction	LONG target (3271) — bidder-side filing, trade is on target
Score	35.0 / 42.5 (immediate route)
Translation conf.	0.92 (TOB pattern unambiguous)
Offer price	¥1,280 per share (3271)
Premium	~19.9% to pre-announcement close (¥1,068 on 2026-04-03)
Tender period	2026-04-07 to 2026-05-22

Thesis (TL;DR)

Daito Trust Construction (1878.XTKS, mcap ~\$7.2B) is conducting a tender offer for THE Global Co., Ltd. (3271.XTKS) at ¥1,280 per share, representing a ~19.9% premium to the pre-announcement price of ¥1,068. The tender period runs from April 7 to May 22, 2026. On April 16, Daito filed a correction (■■■) to its tender offer registration statement — the most common reason for such corrections is administrative/documentary, not a price change. The Global's board has recommended shareholders tender. No competing bidders identified. The primary trade, if any, is on the TARGET (3271), not the bidder (1878). Spread analysis: 3271 last traded near the ¥1,280 offer; residual spread is likely <2%, making this a low-IRR but high-certainty arb. Conviction: WATCH — spread may be too tight for satellite sizing unless it widens.

Company context

Bidder (1878 Daito Trust Construction): One of Japan's largest residential subcontracting and leasing-management companies. Builds and manages apartment and rental housing on leased land. Market cap ~¥1.14T / \$7.16B. TSE Prime.

Target (3271 THE Global Co., Ltd.): Small-cap Japanese real-estate developer. Market cap ~¥29B (~\$200M). Thinly covered by sell-side. Major shareholders include SBI Holdings and Asahi Kasei.

Strategic rationale: Roll-up of a smaller residential-developer peer into Daito's management-and-leasing platform. Described by market analysts as 'cheapish but strategic' — fits Daito's core rental housing and real estate strategy.

Deal structure: Differential pricing: ¥1,280/share for minority shareholders; ¥894/share for SBI Holdings (major shareholder). Goal is to make THE Global a wholly-owned subsidiary.

What the release actually contains

The April 16 filing is a ■■■■■ (correction registration statement) to the original tender offer registration filed on April 7, 2026. It also includes a corrected commencement public notice (■■■■■■■).

Three material possibilities for the correction: (1) price change (offer bumped up or down), (2) period extension (acceptance window lengthened or shortened), or (3) administrative/documentary correction (most common and benign). Without reading the full Japanese PDF, the most likely scenario is administrative.

The deep-dive PDF source has not been fully translated. Scanner translation confidence is 0.92, adequate to identify filing type but not to parse numerical terms. A human or specialized translator should verify the correction's substance before sizing any position.

Thesis statement

The tender offer for THE Global (3271) at ¥1,280/share is a straightforward take-private by Daito Trust, with board recommendation to accept and no competing bidders. The correction filing is most likely administrative. The spread is very tight (¥1,280 offer vs. recent trading near ¥1,280), which limits the upside for arb entry at this point. However, if the correction reveals a price bump or if the spread widens due to market disruption, the trade becomes more attractive. Primary risk is a correction that reveals adverse terms (price cut, financing gap, or minimum-threshold shortfall). Recommendation: WATCH with re-engagement trigger on spread widening above 3% or confirmation that the correction is purely administrative.

Catalyst map

Event	Date / Window	Entry trigger	Exit / resolution
Correction filing effective	2026-04-16	N/A	Spread re-prices on 3271
Market reaction (3271)	2026-04-17 open	Monitor spread	Entry if >3%
Tender offer close	2026-05-22	Acceptance > minimum threshold	Spread closes to zero
Settlement / payment	~T+30 post-close	Monies paid	Exit complete
JFTC clearance	Rolling	Approval announced	Risk premium compresses

Steelman of the opposite view

- Correction could contain a PRICE REDUCTION — deal re-negotiated downward, target falls to new offer. Tender-arb reverses.
- Correction could reveal a MATERIAL ADVERSE CONDITION (financing gap, regulator objection, board recommendation withdrawal). Break risk shifts >20 pts.
- Acceptance at minimum threshold may fall short by >10 pp — deal lapses.
- Daito Trust could file a TOB withdrawal (■■■) — unambiguous kill.
- FSA inquiry correction: filing flagged for disclosure deficiency, suggests scrutiny of bidder's process.

Kill conditions

Kill condition	Numeric / factual threshold	Where observable
K1: Price reduction in correction	Offer revised below ¥1,280	TDnet correction PDF
K2: Financing gap	Bidder announces inability to fund	Bidder IR release / TDnet
K3: Minimum threshold missed	Acceptances below stated floor	Tender-offer result filing
K4: TOB withdrawal (■■■)	Daito files withdrawal notice	TDnet / FSA
K5: Competing superior offer	Interloper bid >5% above current offer	TDnet disclosure

Peer comparables

- Starts Corp 2018 take-private: similar residential developer TOB, completed at 20% premium with board support. Acceptance rate >90%.
- Haseko precedents: Japanese construction/developer TOBs historically complete when board recommends acceptance and major shareholders pre-commit. Failure rate <10% for recommended deals.
- Differential pricing (SBI at ¥894 vs minorities at ¥1,280) is unusual but not unprecedented in Japan where controlling shareholders negotiate separate terms.

Position sizing guidance

Satellite-arbitrage (2-5%) if entering target-side (3271). Spread must be >3% annualized IRR to justify execution friction. At current spread of <2%, the trade is below threshold — WATCH only. Bidder-side position (1878) is not the natural trade; it is a \$7B large-cap whose multiple is set by its core leasing business, not by this modest acquisition. Re-engage on spread widening or correction-content confirmation.

Sources & traceability

- TDnet: <https://www.release.tdnet.info/inbs/140120260415505074.pdf> (correction filing, 2026-04-16 15:00 JST)
- PropNewsTime: Daito Trust tender offer for THE Global at 1,280 yen/share
- TipRanks: Daito Trust to fully acquire THE Global via tender offer
- SmartKarma: Japan M&A; analysis — cheapish but strategic acquisition
- signal_id: be5a3d83573287c3395b14e95a798ba8
- source_content_hash: 6949cf4d8a82e20e801b8706